Torrent Pharmaceuticals Ltd

Healthcare | Pharmaceuticals | Latest FY: Mar-24 | ₹ Crore

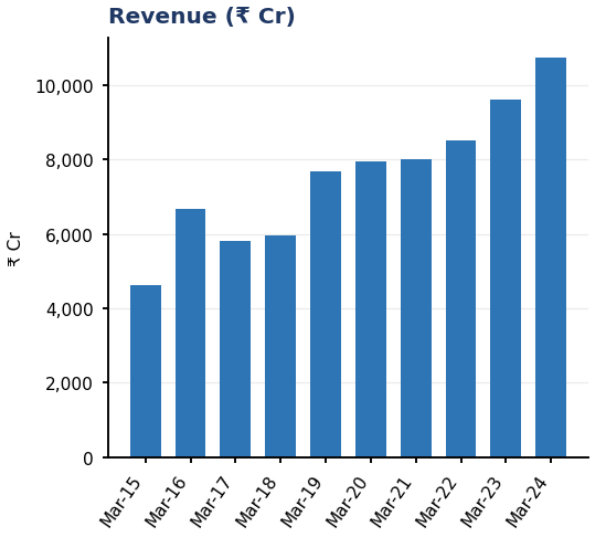
TORNTPHARM

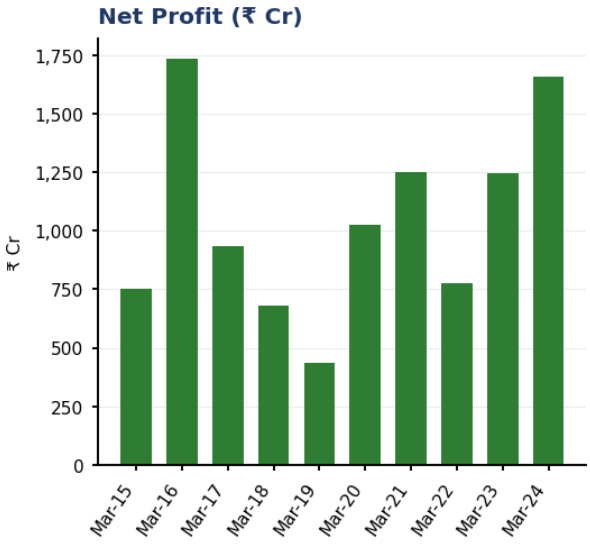
Key Performance Indicators

RETURN ON EQUITY	RETURN ON CAPITAL EMPLOYED	OPERATING PROFIT MARGIN
24.2%	**23.5%**	**31.4%**
▲ +4.1 pts vs Mar-23	▲ +5.1 pts vs Mar-23	▲ +1.9 pts vs Mar-23

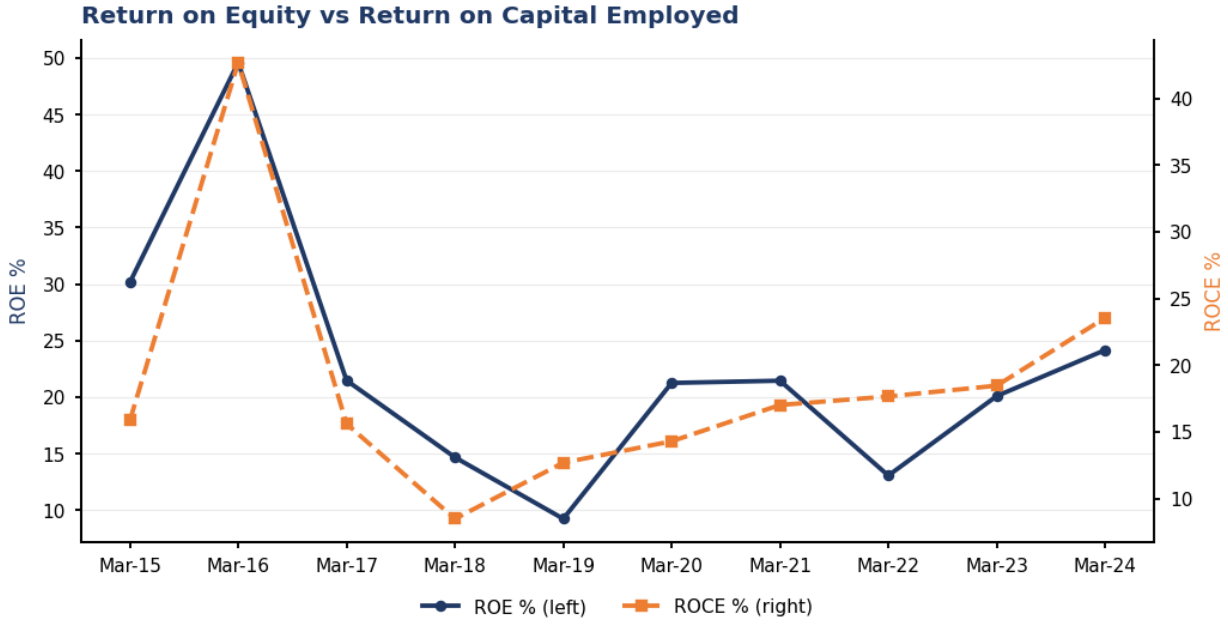
DEBT / EQUITY	REVENUE CAGR (5Y)	NET PROFIT CAGR (5Y)
0.59x	**6.9%**	**30.6%**
▼ -0.28x vs Mar-23	compound annual rate	compound annual rate

10-Year Revenue and Net Profit





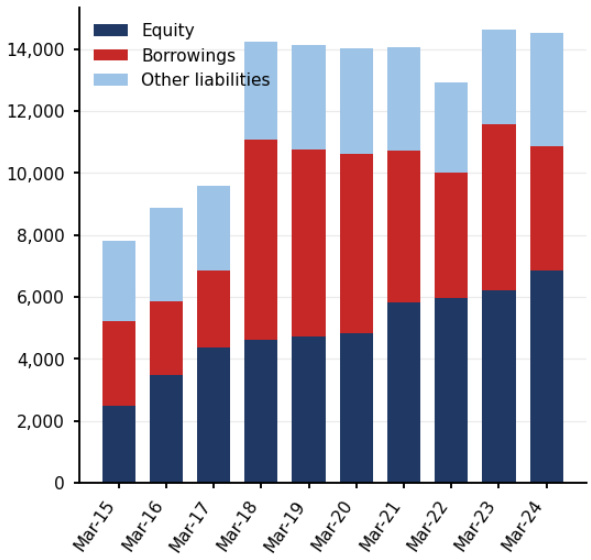
Return on Equity and Return on Capital Employed



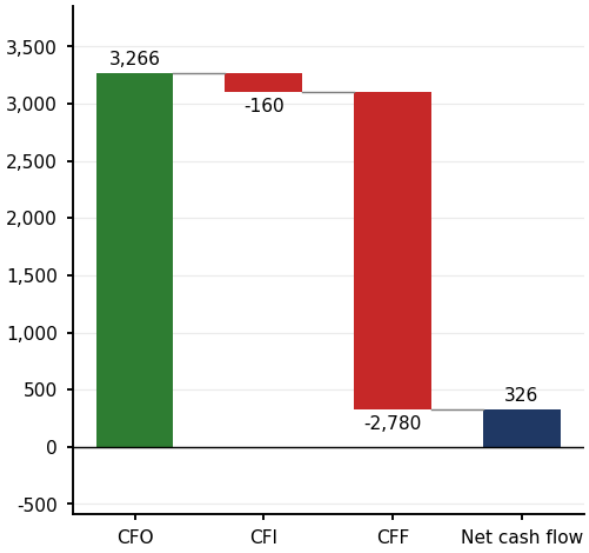
Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.

Balance Sheet Composition and Latest-Year Cash Flow

Balance Sheet Composition (₹ Cr)



Cash Flow Waterfall – Mar-24 (₹ Cr)



Capital Allocation

Reinvestor

Pattern history (CFO / CFI / CFF signs): Mar-21: Reinvestor → Mar-22: Reinvestor → Mar-23: Aggressive Expander → Mar-24: Reinvestor

Cash Flow Intelligence

CFO QUALITY (5Y CFO/PAT)	CAPEX INTENSITY	FCF CONVERSION	FCF CAGR (5Y)	FLAGS
1.83x	**7.5%**	**60%**	**14.9%**	**Deleveraging**
High Quality	Moderate	FCF / operating profit		

Pros

- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (95%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (95%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (81%)
- Operating profit margin above 25% indicates strong pricing power and cost discipline (73%)
- Growing asset base funded by internal accruals reflects self-sustaining growth (71%)
- Strong free cash flow generation over 5 years signals healthy business fundamentals (69%)

Cons

- 5-year revenue CAGR of 6.9% is below the Healthcare sector median of 10.2% (68%)

Source: company financial statements (annual). Pros/cons are rule-based with confidence scores; not investment advice.